Camil Alimentos

H1 2026 Purchase Hedge Simulation

A plain-English guide | Public prices | Estimated volumes

Who	When	Cover
Camil Alimentos S.A. (CAML3)	January - June 2026	50% of each month's volume

1. Simple glossary (read this first)

Camil buys agricultural raw materials (rice, sugar, coffee, wheat) to make food products. Those prices move every month. A hedge is a financial contract that helps stabilize the purchase budget when prices jump.

IN EVERYDAY TERMS
Think of a hedge like travel insurance or a fixed-rate loan: you pay something (or accept less upside) to avoid a nasty surprise on cost.

Words used in this report:

- Market price (spot): the average price Camil would pay that month if it buys on the open market.
- Volume: how much product is purchased that month (estimated from Camil's public reports).
- No hedge: buy everything at the market price. Simple, but the bill swings with the market.
- Swap (fixed price): agree in advance to pay a fixed price on part of the volume. If the market rises, you are protected. If it falls, you miss the cheaper market.
- Call option: like an insurance policy against rising prices. You pay a premium up front. If price rises above a strike, you receive a payoff that offsets the extra cost. If price falls, the option expires unused and you only lose the premium.
- Put option (sold in a collar): the other side of a call. Selling a put lowers the net premium you pay, but if price falls a lot you may owe a payoff.
- Collar: buy a call and sell a put together. Cheaper protection than a call alone, with a floor on how much you benefit if prices crash.
- Premium: the price of the option (what you pay to buy protection).
- Payoff: what the option pays you (or what you owe) when the month's price is known.
- Hedge benefit: cost with hedge minus cost without hedge. Positive = the hedge saved money. Negative = the market was cheaper than the hedge.

2. What we simulated

We ask: if Camil had hedged 50% of its estimated monthly purchases from January to June 2026, how would the bill compare with buying everything at market?

Four strategies, applied separately to rice, sugar, coffee and wheat:

- No hedge - buy 100% at each month's market average.
- 50% Swap - lock half the volume at the January average price; the other half stays at market.
- 50% Call - buy a call option on half the volume (strike = January price). Pay premium; receive payoff if price finishes above that strike.
- 50% Collar - on half the volume: buy the same call and sell a put at 90% of the January price, to reduce the net premium.

IMPORTANT
Option premiums are calculated on 2 January 2026 using the Black-76 model (the same engine as CommoHedge Strategy Builder), with volatility taken from the six monthly price moves in H1. This is an illustration, not Camil's real trades.

3. Results at a glance

Rice prices rose, so locking part of the purchase helped. Coffee prices fell a lot, so a fixed swap looked expensive; a call option limited the cost of being wrong.

Commodity	Price risk*	Cost if unhedged	Benefit: Swap	Benefit: Call	Benefit: Collar
Sugar	17.4%	-$89.42M	-$378k	-$1.29M	-$1.03M
Coffee	20.3%	-$125.77M	-$10.45M	-$3.02M	-$6.70M
Wheat	13.7%	-$10.72M	$333k	$193k	$206k
Rice	16.2%	-R$461.01M	R$19.69M	R$12.78M	R$13.76M

* Price risk = how much monthly prices bounced (annualized volatility).

RICE - prices went up

A 50% swap would have improved the purchase bill by about R$19.69M. That is the clearest win in this period.

COFFEE - prices went down

A swap locked a high January price and cost about -$10.45M. A call option cost only about -$3.02M (mostly the premium).

4. How the option premium and payoff work

For a food buyer, a call option is insurance against higher raw-material prices.

- You choose a strike price (here: the January average). That is the price level you want protection above.
- You pay a premium on day one (or at the start of the program). That premium is the cost of insurance.
- At the end of the month, if the market price is above the strike, the option payoff = market price minus strike. That cash gain offsets the higher physical purchase.
- If the market price is below the strike, the payoff is zero. You still paid the premium, but you enjoy the cheaper market on your physical purchases.

NET EFFECT OF A CALL (ON THE HEDGED HALF)
Net = - Premium + Payoff. If prices rise a lot, Payoff can exceed Premium (insurance pays). If prices fall, Payoff is zero and you only lose the Premium - which is usually much smaller than the loss on a fixed swap.

A collar reduces the premium: you sell a put at 90% of the January price. The money received for that put lowers what you pay for the call. In return, if price falls below the put strike, you owe a put payoff (which reduces your benefit from cheap market prices).

Option strikes used in this simulation

Commodity	Unit	Call strike (ATM)	Put strike (90%)	Meaning
Sugar	USD per pound	14.50 c/lb	13.05 c/lb	Call protects above Jan; put sold below Jan
Coffee	USD per pound	335.0 c/lb	301.5 c/lb	Call protects above Jan; put sold below Jan
Wheat	USD per bushel	$5.01/bu	$4.51/bu	Call protects above Jan; put sold below Jan
Rice	BRL per 50 kg bag	R$53.38/bag	R$48.04/bag	Call protects above Jan; put sold below Jan

5. Option premiums and payoffs (by commodity)

Premiums are shown in cash on the hedged volume only (50% of monthly volume). Payoff is what the option returns that month. Net for the call = Payoff minus Premium.

Sugar | World sugar futures (ICE)

Hedged volume each month: 51,826,942 units (50% of 103,653,884). Call strike 14.50 c/lb. Put strike 13.05 c/lb.

H1 total (6 months)	Amount
Call premiums paid (cash)	$1,585,033
Call payoffs received (cash)	$295,414
Call net (payoffs - premiums)	-$1,289,620
Collar net premiums paid	$1,323,781
Collar net payoffs	$295,414
Collar net (payoffs - premiums)	-$1,028,368
Overall hedge benefit vs no hedge (call)	-$1,289,620
Overall hedge benefit vs no hedge (collar)	-$1,028,368

Month-by-month call option (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	14.50 c/lb	0.0029	0.0000	$149k	$0	-$149k
Feb	14.20 c/lb	0.0040	0.0000	$206k	$0	-$206k
Mar	14.80 c/lb	0.0049	0.0030	$254k	$155k	-$98k
Apr	14.09 c/lb	0.0056	0.0000	$293k	$0	-$293k
May	14.77 c/lb	0.0063	0.0027	$327k	$140k	-$187k
Jun	13.91 c/lb	0.0069	0.0000	$357k	$0	-$357k

Month-by-month collar (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	14.50 c/lb	0.0028	0.0000	$146k	$0	-$146k
Feb	14.20 c/lb	0.0037	0.0000	$192k	$0	-$192k
Mar	14.80 c/lb	0.0043	0.0030	$222k	$155k	-$67k
Apr	14.09 c/lb	0.0047	0.0000	$241k	$0	-$241k
May	14.77 c/lb	0.0049	0.0027	$256k	$140k	-$116k
Jun	13.91 c/lb	0.0051	0.0000	$266k	$0	-$266k

Coffee | Arabica coffee futures (ICE New York)

Hedged volume each month: 3,648,646 units (50% of 7,297,292). Call strike 335.0 c/lb. Put strike 301.5 c/lb.

H1 total (6 months)	Amount
Call premiums paid (cash)	$3,015,168
Call payoffs received (cash)	$0
Call net (payoffs - premiums)	-$3,015,168
Collar net premiums paid	$2,356,072
Collar net payoffs	-$4,340,247
Collar net (payoffs - premiums)	-$6,696,319
Overall hedge benefit vs no hedge (call)	-$3,015,168
Overall hedge benefit vs no hedge (collar)	-$6,696,319

Month-by-month call option (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	335.0 c/lb	0.0775	0.0000	$283k	$0	-$283k
Feb	288.8 c/lb	0.1073	0.0000	$392k	$0	-$392k
Mar	290.2 c/lb	0.1324	0.0000	$483k	$0	-$483k
Apr	284.6 c/lb	0.1525	0.0000	$556k	$0	-$556k
May	268.2 c/lb	0.1706	0.0000	$622k	$0	-$622k
Jun	256.8 c/lb	0.1861	0.0000	$679k	$0	-$679k

Month-by-month collar (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	335.0 c/lb	0.0749	0.0000	$273k	$0	-$273k
Feb	288.8 c/lb	0.0958	-0.1273	$349k	-$465k	-$814k
Mar	290.2 c/lb	0.1086	-0.1131	$396k	-$413k	-$809k
Apr	284.6 c/lb	0.1167	-0.1686	$426k	-$615k	-$1.04M
May	268.2 c/lb	0.1227	-0.3331	$448k	-$1.22M	-$1.66M
Jun	256.8 c/lb	0.1270	-0.4474	$463k	-$1.63M	-$2.10M

WHY COFFEE CALL LOOKS BETTER THAN THE SWAP HERE

Coffee fell from 335.0 c/lb in January to 256.8 c/lb in June. The call payoffs were mostly zero (price stayed below the strike), so you mainly paid premiums ($3.02M). That is still much smaller than the -$10.45M opportunity cost of a fixed swap locked at the high January price.

Wheat | US wheat market price

Hedged volume each month: 167,227 units (50% of 334,454). Call strike $5.01/bu. Put strike $4.51/bu.

H1 total (6 months)	Amount
Call premiums paid (cash)	$139,735
Call payoffs received (cash)	$332,782
Call net (payoffs - premiums)	$193,046
Collar net premiums paid	$126,292
Collar net payoffs	$332,782
Collar net (payoffs - premiums)	$206,490
Overall hedge benefit vs no hedge (call)	$193,046
Overall hedge benefit vs no hedge (collar)	$206,490

Month-by-month call option (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	$5.01/bu	0.0783	0.0000	$13k	$0	-$13k
Feb	$5.12/bu	0.1085	0.1100	$18k	$18k	$250
Mar	$5.52/bu	0.1339	0.5100	$22k	$85k	$63k
Apr	$5.40/bu	0.1542	0.3900	$26k	$65k	$39k
May	$5.55/bu	0.1725	0.5400	$29k	$90k	$61k
Jun	$5.45/bu	0.1882	0.4400	$31k	$74k	$42k

Month-by-month collar (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	$5.01/bu	0.0781	0.0000	$13k	$0	-$13k
Feb	$5.12/bu	0.1058	0.1100	$18k	$18k	$694
Mar	$5.52/bu	0.1257	0.5100	$21k	$85k	$64k
Apr	$5.40/bu	0.1391	0.3900	$23k	$65k	$42k
May	$5.55/bu	0.1494	0.5400	$25k	$90k	$65k
Jun	$5.45/bu	0.1572	0.4400	$26k	$74k	$47k

Rice | Brazil rice indicator (CEPEA)

Hedged volume each month: 658,233 units (50% of 1,316,467). Call strike R$53.38/bag. Put strike R$48.04/bag.

H1 total (6 months)	Amount
Call premiums paid (cash)	R$6,910,596
Call payoffs received (cash)	R$19,687,759
Call net (payoffs - premiums)	R$12,777,163
Collar net premiums paid	R$5,924,619
Collar net payoffs	R$19,687,759
Collar net (payoffs - premiums)	R$13,763,140
Overall hedge benefit vs no hedge (call)	R$12,777,163
Overall hedge benefit vs no hedge (collar)	R$13,763,140

Month-by-month call option (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	R$53.38/bag	0.9840	0.0000	R$648k	R$0	-R$648k
Feb	R$54.80/bag	1.3634	1.4200	R$897k	R$935k	R$37k
Mar	R$58.83/bag	1.6819	5.4500	R$1.11M	R$3.59M	R$2.48M
Apr	R$62.67/bag	1.9376	9.2900	R$1.28M	R$6.11M	R$4.84M
May	R$61.02/bag	2.1670	7.6400	R$1.43M	R$5.03M	R$3.60M
Jun	R$59.49/bag	2.3649	6.1100	R$1.56M	R$4.02M	R$2.47M

Month-by-month collar (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	R$53.38/bag	0.9747	0.0000	R$642k	R$0	-R$642k
Feb	R$54.80/bag	1.2938	1.4200	R$852k	R$935k	R$83k
Mar	R$58.83/bag	1.5071	5.4500	R$992k	R$3.59M	R$2.60M
Apr	R$62.67/bag	1.6462	9.2900	R$1.08M	R$6.11M	R$5.03M
May	R$61.02/bag	1.7507	7.6400	R$1.15M	R$5.03M	R$3.88M
Jun	R$59.49/bag	1.8282	6.1100	R$1.20M	R$4.02M	R$2.82M

WHY RICE OPTIONS AND SWAPS BOTH HELPED
Rice rose from R$53.38/bag to a peak near R$62.67/bag. Call payoffs turned positive in the rising months, so premiums were partly or fully offset. The swap locked the cheap January price on half the volume and delivered the largest cash benefit (R$19.69M).

6. Monthly market prices used

Average prices each month - the 'bill' if Camil bought on the market.

Commodity	Unit	Jan	Feb	Mar	Apr	May	Jun	Risk
Sugar	cents/lb	14.50	14.20	14.80	14.09	14.77	13.91	17.4%
Coffee	cents/lb	335.0	288.8	290.2	284.6	268.2	256.8	20.3%
Wheat	USD/bu	5.01	5.12	5.52	5.40	5.55	5.45	13.7%
Rice	BRL/bag	53.38	54.80	58.83	62.67	61.02	59.49	16.2%

Sources: CEPEA (rice), ICE sugar and coffee, USDA / futures proxies (wheat).

7. Estimated monthly volumes

Camil publishes total tonnes sold, not exact tonnes of each raw material. We apply the shares from their investor guide to the 2025 total (2.26 million tonnes), then divide by 12 for a monthly figure.

Commodity	Tonnes / month	Trading units / month	Share assumption
Rice	65,800	1,316,467 bags	~35% of total volume
Sugar	47,000	103,653,884 lb	~25% of total volume
Coffee	3,300	7,297,292 lb	~20% of High Growth
Wheat	9,100	334,454 bushels	~55% of High Growth

High Growth = Camil's pasta, biscuits, coffee and canned-fish business in Brazil.

8. Full monthly costs (all strategies)

Cost without hedge vs cost with 50% swap, and the hedge benefit for swap, call and collar.

Sugar

Month	Market	Cost (no hedge)	Cost (50% swap)	Benefit swap	Benefit call	Benefit collar
Jan	14.50 c/lb	-$15.03M	-$15.03M	$0	-$149k	-$146k
Feb	14.20 c/lb	-$14.72M	-$14.87M	-$155k	-$206k	-$192k
Mar	14.80 c/lb	-$15.34M	-$15.19M	$155k	-$98k	-$67k
Apr	14.09 c/lb	-$14.60M	-$14.82M	-$212k	-$293k	-$241k
May	14.77 c/lb	-$15.31M	-$15.17M	$140k	-$187k	-$116k
Jun	13.91 c/lb	-$14.42M	-$14.72M	-$306k	-$357k	-$266k

Coffee

Month	Market	Cost (no hedge)	Cost (50% swap)	Benefit swap	Benefit call	Benefit collar
Jan	335.0 c/lb	-$24.45M	-$24.45M	$0	-$283k	-$273k
Feb	288.8 c/lb	-$21.07M	-$22.76M	-$1.69M	-$392k	-$814k
Mar	290.2 c/lb	-$21.18M	-$22.81M	-$1.63M	-$483k	-$809k
Apr	284.6 c/lb	-$20.77M	-$22.61M	-$1.84M	-$556k	-$1.04M
May	268.2 c/lb	-$19.57M	-$22.01M	-$2.44M	-$622k	-$1.66M
Jun	256.8 c/lb	-$18.74M	-$21.59M	-$2.85M	-$679k	-$2.10M

Wheat

Month	Market	Cost (no hedge)	Cost (50% swap)	Benefit swap	Benefit call	Benefit collar
Jan	$5.01/bu	-$1.68M	-$1.68M	$0	-$13k	-$13k
Feb	$5.12/bu	-$1.71M	-$1.69M	$18k	$250	$694
Mar	$5.52/bu	-$1.85M	-$1.76M	$85k	$63k	$64k
Apr	$5.40/bu	-$1.81M	-$1.74M	$65k	$39k	$42k
May	$5.55/bu	-$1.86M	-$1.77M	$90k	$61k	$65k
Jun	$5.45/bu	-$1.82M	-$1.75M	$74k	$42k	$47k

Rice

Month	Market	Cost (no hedge)	Cost (50% swap)	Benefit swap	Benefit call	Benefit collar
Jan	R$53.38/bag	-R$70.27M	-R$70.27M	R$0	-R$648k	-R$642k
Feb	R$54.80/bag	-R$72.14M	-R$71.21M	R$935k	R$37k	R$83k
Mar	R$58.83/bag	-R$77.45M	-R$73.86M	R$3.59M	R$2.48M	R$2.60M
Apr	R$62.67/bag	-R$82.50M	-R$76.39M	R$6.11M	R$4.84M	R$5.03M
May	R$61.02/bag	-R$80.33M	-R$75.30M	R$5.03M	R$3.60M	R$3.88M
Jun	R$59.49/bag	-R$78.32M	-R$74.29M	R$4.02M	R$2.47M	R$2.82M

9. Key takeaways for a non-technical reader

- Hedging is about budget certainty, not about 'beating' the market every time.
- When prices rise (rice), a swap or a call can reduce the purchase bill.
- When prices fall (coffee), a swap can look expensive; a call mainly costs the premium and leaves you free to buy cheaper on the market.
- Always look at premium (what you pay) and payoff (what you get back) separately - that is how options work.
- A practical mix for a company like Camil: swaps on large stable flows (rice), options or collars on more volatile softs (coffee).

10. Important notes

This document is an illustrative marketing report. It uses public prices and estimated volumes. It is not investment advice, not an offer to trade, and not a description of Camil's real hedge book.

Volume shares come from Camil investor materials where exact raw-material tonnes are not disclosed. A few monthly prices are approximations when official averages were incomplete.

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